ACC501

Quiz No.3 Jan2026

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90% To 100% Marks

1. Total portfolio risk is equal to:

- A) unsystematic risk plus diversifiable risk
- B) systematic risk plus non-diversifiable risk
- C) systematic risk plus market risk
- D) systematic risk plus diversifiable risk

Answer: D) systematic risk plus diversifiable risk

2. All of the following are the drawbacks of Average Accounting Return (AAR) EXCEPT:

- A) It focuses on cash flow and market value
- B) No objective base to compare with
- C) It focuses on net income and book value
- D) It ignores time value of money

Answer: A) It focuses on cash flow and market value

3. Which of the following statement is TRUE regarding Average Accounting Return?

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- A) None of the given options
- B) An investment is acceptable if its AAR is greater than a benchmark AAR
- C) AAR is a rate that makes the NPV equal to zero
- D) An investment is acceptable if its AAR is less than a benchmark AAR

Answer: B) An investment is acceptable if its AAR is greater than a benchmark AAR

4. Suppose market value exceeds book value by Rs. 200,000. What will be the after-tax proceeds if there is a tax rate of 35 percent?

- A) Rs. 130,000
- B) Rs. 97,500
- C) Rs. 150,000
- D) Rs. 105,600

Answer: A) Rs. 130,000

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5. A project having non-conventional cash flows is actually a characteristic of:

- A) NPV
- B) AAR
- C) IRR
- D) PI

Answer: C) IRR

6. Net Present Value (NPV) technique which is used to discount the company's future cash flows is actually a type of:

- A) Loan acquiring technique
- B) Stock evaluation technique
- C) Cash collection technique
- D) Capital budgeting technique

Answer: D) Capital budgeting technique

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7. The value of the firm's cash flows (or the value of the firm) is _____ when the WACC is _____.

- A) maximized; minimized
- B) minimized; minimized
- C) None of the given options
- D) maximized; maximized

Answer: A) maximized; minimized

8. Mr. Nadeem has bought 100 shares of a corporation one year ago at Rs. 22 per share. Over the last year, he received a dividend of Rs. 2.50 per share. At the end of the year, the stock sells for Rs. 28. What will be the capital gains yield?

- A) 27.27%
- B) 25.10%
- C) 15.85%

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- D) 45.00%

Answer: A) 27.27%

9. The next dividend for a company is Rs. 6 per share. The stock current price is Rs. 57 per share. What will be the cost of capital if the dividends are estimated to grow steadily at 5%?

- A) 12.88%
- B) 13.07%
- C) 15.53%
- D) 14.22%

Answer: C) 15.53%

10. What is the amount of net working capital if taxes, account receivable, account payable and company's fixed cost for current year are given 8,000, 82,000, 67,000 and 15,000 respectively?

- A) Rs. 38,000

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- B) Rs. 172,000
- C) Rs. 8,000
- D) Rs. 15,000

Answer: A) Rs. 38,000

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